

1. Decision and exposure

CONDITIONAL APPROVAL - PROCEED WITH DILIGENCE AND DEFINITIVE DOCUMENTATION

\$635m fully funded term facility plus \$300m revolver; participating-bank hold up to \$50m combined. Status: owner_reviewed. No final commitment or funding authorization exists until all material conditions are satisfied.

Question	Committee answer
What are we lending?	\$635m term + \$300m revolver; \$29.898m opening draw; \$15m non-debt source required.
Why refinance?	\$5.000m lower same-date closing debt only from the conditional source. Benefits are maturity, liquidity, amortization, sweep, reporting, and intervention.
How are we repaid?	Primary: recurring operating cash after all required uses. Amortization/sweep are payment mechanisms. Recovery is the secondary backstop.
What can go wrong?	3.2285x opening leverage; moderate breach 10/31/26; severe liquidity/payment failure; Tyman/control risk; \$324.780m 01/31/31 gap.
Why acceptable?	Moderate breach enables early intervention while liquidity/payment capacity remain; no automatic waiver; failed conditions trigger fallback.

Decision field	Result	Source
Borrower	Quanex Building Products Corporation	Phase 0 mandate
Opening debt / leverage	\$727.517m / 3.2285x	P10M-021/022
Base all-in liquidity	\$263.902m	P10M-023
Borrower risk assessment	Elevated - project-specific qualitative	Phase 10 register
Official recovery	N/D	P10M-096

Critical failure rule: if the \$15m source, satisfactory closing coverage, acceptable documents, full commitments, or another material condition is absent, resize, obtain another acceptable non-debt source, or do not close. Do not add debt, loosen covenants, assume inaccessible cash, refinancing, waiver, or recovery. Retain or amend existing facilities through a limited amendment/extension.

2. Transaction and alternatives

Selected structure and sources / uses

Item	Selected treatment	Boundary
Term facility	\$635.000m funded at close	No unused term availability
Revolver	\$300.000m commitment; \$29.898m opening draw	\$6.2m LCs counted once
Non-debt source	\$15.000m conditional	Separate from \$25m operating floor
Sources less uses	\$0.000m	Final payoff and funds flow required
Amortization / sweep	7.5% annual quarterly / 50% ECF	Final definitions and safeguards required
Final maturity	January 31, 2031	No refinancing proceeds assumed

Why Quanex would refinance

- Persistent acquisition-related revolver usage is moved into amortizing term debt, leaving the revolver primarily for working capital.
- The selected package adds mandatory amortization, an ECF sweep, distribution restrictions, and warning/covenant reporting that provide earlier lender intervention.
- Final maturity extends roughly 18 months beyond the existing August 1, 2029 maturity; extension is modest and not sufficient by itself.

Live alternatives and strongest counterargument

01/31/2026 projected alternative	Bank debt	Other funded debt	Total funded debt
Existing facilities	\$669.898m	\$62.619m	\$732.517m
\$650m reference	\$679.898m	\$62.619m	\$742.517m
\$635m selected	\$664.898m	\$62.619m	\$727.517m

Historical reference only at 10/31/2025: \$641.250m bank debt + \$62.619m retained lease/other debt = \$703.869m total funded debt. Selected is \$5.000m below projected existing at 01/31/2026 only because the conditional \$15m non-debt source exceeds assumed \$10m fees.

STRONGEST COUNTERARGUMENT

Refinancing incurs fees and unresolved economics; at 07/31/2029 selected debt is \$514.754m, \$19.385m above existing; moderate stress breaches 10/31/2026; refinancing remains unresolved; and the lower selected gap benefits partly from about 18 extra months.

Response: the refinance is not justified by faster same-horizon debt reduction. It is supportable only for maturity extension, liquidity structure, amortization, lender protections, and monitoring, subject to acceptable final economics and documents. Otherwise the fallback controls.

Alternative	07/31/29 total funded debt	Ultimate bank-debt gap / date
Retain existing	\$495.368m	\$432.749m / 08/01/2029
Limited amendment	N/D	Terms and economics N/D
\$650m reference	\$507.954m	\$340.948m / 01/31/2031
\$635m selected	\$514.754m	\$324.780m / 01/31/2031

MEMO BODY: 19.385m above existing and \$6.869m above reference at the common horizon. Ultimate bank debt gaps use different maturity dates and cash-generation periods and are not directly comparable.

3. Borrower and business risk

Quanex supplies building-product components through Hardware, Extruded, and Custom Solutions. Demand is exposed to residential repair/remodeling, new construction, and selected commercial/industrial markets. The underwriting is a post-Tyman integration case, not a pre-acquisition steady-state credit.

Risk driver	Evidence / mechanism	Required lender response
Demand and volume	Legacy revenue fell in FY2024; pre-cutoff housing indicators were weak; post-acquisition growth is not organic.	Comparable-volume and price/mix bridge by segment/geography.
Gross margin	Seasonal and acquisition/mix effects; fixed-cost absorption is the primary operating sensitivity.	Monthly plant, service-level, mix, and margin reporting.
Tyman integration	\$302.284m goodwill impairment; plant stabilization and remaining synergy realization are uncertain.	Milestone, cash-cost, service, and realized-synergy evidence.
Working capital	FY2025 DIO 72.22 days; quarterly cash generation is seasonal; DPO is N/D.	Aging, purchases/AP, accrual, and other-WC bridge; no zero plug.
Capital expenditure	FY2025 capex \$62.642m; maintenance versus integration/expansion split is unavailable.	Project-level schedule; no unsupported maintenance cut.
Reporting quality	Cash-flow statement preparation/review material weakness remained outstanding at FY2025 year-end.	Remediation milestones, testing evidence, and audit updates.
Foreign cash / structure	\$46.9m of FY2025 book cash was foreign; accessibility is not equivalent to book cash.	Entity/jurisdiction cash and guarantor/collateral schedule.

Acquisition comparability boundary

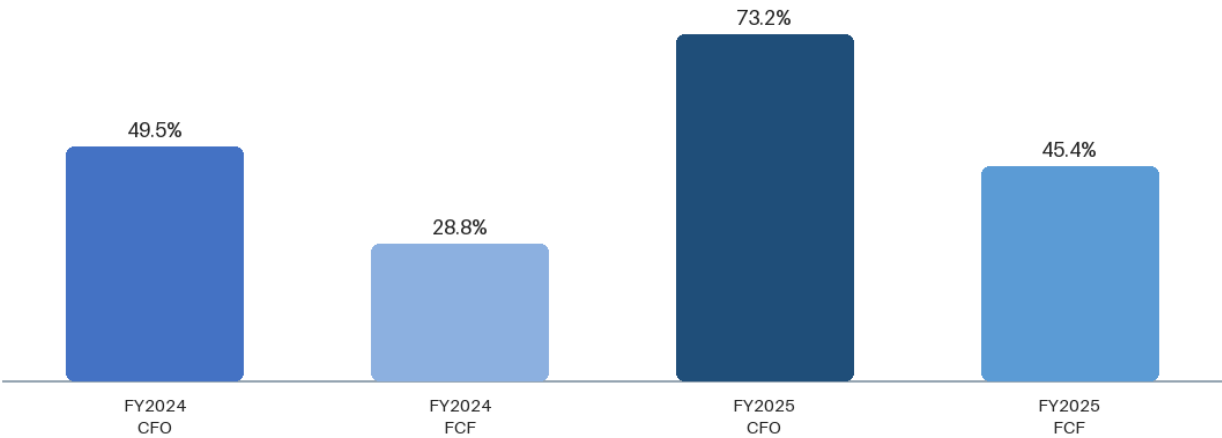
FY2021-FY2023 are pre-Tyman; FY2024 includes roughly three months of Tyman; FY2025 is the first full post-Tyman year. Pro forma figures do not create reported history, and current segments are not fabricated backward.

Underwriting judgment: business scale and FY2025 earnings capacity support proceeding, but integration, plant execution, margin, working capital, and reporting controls make the recommendation conditional and support an Elevated project-specific qualitative risk assessment - not an official bank grade or agency rating.

4. Historical performance and earnings quality

USD millions / ratio	FY2024	FY2025	Credit interpretation
Revenue	\$1,277.862m	\$1,837.641m	Growth is acquisition-distorted
Operating income	\$54.826m	\$(193.952)m	FY2025 includes impairment
Unadjusted EBITDA	\$115.154m	\$(90.508)m	Negative FY2025; ratio denominator N/M
Lender-base EBITDA	\$179.358m	\$225.344m	Owner-reviewed normalization; not contractual EBITDA
CFO	\$88.812m	\$164.897m	Includes cash interest under US GAAP
FCF	\$51.726m	\$102.255m	Defined as CFO less capex
CFO / lender EBITDA	49.5%	73.2%	FY2025 recovery is supportive
FCF / lender EBITDA	28.8%	45.4%	Still subject to seasonality and capex mix

Historical cash conversion (% of lender-base EBITDA)



Earnings-definition bridge

FY2025 unadjusted EBITDA of \$(90.508)m is bridged to \$225.344m lender-base EBITDA primarily through the \$302.284m impairment, \$9.007m inventory purchase-accounting step-up, and \$4.561m identified noncash restructuring component. Plant-relocation items and the \$10.263m composite receive no Base credit. FY2024 lender Base accepts the \$29.076m purchase-accounting normalization and \$39.324m Tyman transaction fees, deducts the \$(4.196)m gain, and rejects the plant-closure cost in Base.

Cash-flow boundary

Lender-normalization treatment, contractual eligibility, and historical cash treatment remain separate. An addback can be mathematically accepted while the underlying cash outflow or business-risk signal remains fully visible.

5. Debt, legal structure, and liquidity

Measure	Selected result	Interpretation
Term / revolver	\$635m / \$300m	Term fully funded; revolver for working capital
Opening revolver draw	\$29.898m	Not unused term availability
Retained funded obligations	\$62.619m	Included economically; legal ranking N/D
Opening funded debt	\$727.517m	Term + revolver + retained funded obligations
Opening gross leverage	3.2285x	Below but close to 3.25x inclusive warning
Opening / all-in liquidity	\$263.902m	No credit to book cash
Operating floor	\$25.000m	Separate from covenant liquidity and source
Bank hold	Up to \$50.000m	Combined commitments; allocation remains final

Legal and collateral conditions

- Executed guarantees from eligible material domestic subsidiaries; final entity and excluded-subsubsidiary schedules.
- Payoff and lien releases, collateral scope, UCC/IP filings, control agreements, searches, perfection, priority, and permitted-lien review.
- No assumption that foreign cash or all consolidated assets are accessible or pledged; entity-level treatment must be documented.
- LC replacement/continuation mechanics, final draw conditions, defaults, cures, waivers, ECF, debt, and EBITDA definitions.

Liquidity and drawability

Usable liquidity equals eligible unrestricted cash plus undrawn drawable revolver capacity after LCs. Book cash is excluded unless final evidence proves eligibility. A warning is not a breach and does not itself stop draws. The no-waiver path is a separate covenant-linked sensitivity; legal availability is determined only by executed documents.

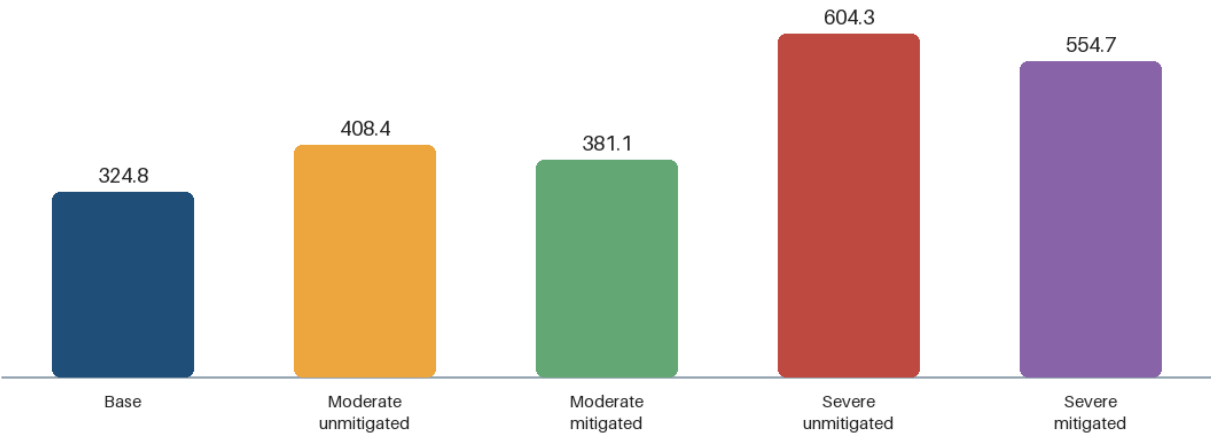
Closing coverage remains N/D

The public record lacks a complete closing-date LTM cash-interest denominator under final definitions. Satisfactory closing coverage evidence is a condition precedent, not a modeled assumption.

6. Base repayment and refinancing

Base measure	Result	Credit meaning
FY2026 lender EBITDA	\$190.249m	Annual FY2026 public-information model output
Modeled operating cash	\$794.484m	Cumulative 02/01/2026-01/31/2031
CFADS	\$640.309m	Cumulative 02/01/2026-01/31/2031
Cash interest	\$167.386m	Cumulative 02/01/2026-01/31/2031
Scheduled principal	\$238.125m	Cumulative 02/01/2026-01/31/2031
ECF sweep	\$57.292m	Cumulative 02/01/2026-01/31/2031
Minimum coverage	5.3860x	Minimum over forecast
Common-horizon funded debt	\$514.754m	Total funded debt at 07/31/2029
Unsupported maturity gap	\$324.780m	Bank debt at 01/31/2031; no takeout

Unsupported maturity gap by selected path (USD millions)



Repayment conclusion

Primary repayment is recurring operating cash available after operating requirements, cash interest, cash taxes, working-capital needs, necessary maintenance capex, and other required uses. Scheduled amortization and the ECF sweep are payment mechanisms, not sources. Accessible cash and legally drawable revolver capacity are timing/liquidity support only; a draw increases or reallocates funded debt. Refinancing is an unresolved separately underwritten dependency, not secondary repayment. Collateral/business-sale recovery is the secondary backstop; official recovery is N/D.

Residual maturity dependency

The selected structure does not self-liquidate. A funded maturity strategy must begin at least 24 months before January 31, 2031 and escalate at 12 months without an executable solution. A maturity gap is refinancing risk, not a forecast default conclusion.

7. Downside and covenant intervention

Selected path	Maximum quarterly-test leverage / min coverage	Liquidity and event	Maturity gap
Base	3.23x / 5.39x	\$263.902m all-in; no modeled breach/failure	\$324.780m
Moderate unmitigated	4.4893x / 3.2104x	\$165.078m; breach 10/31/2026; no failure	\$408.375m
Moderate mitigated	4.4670x / 3.2168x	\$168.937m; breach 10/31/2026; no failure	\$381.133m
Severe unmitigated	7.06x / 1.78x	\$0; liquidity 07/31/2027; cash-interest failure 12/31/2027	\$604.258m
Severe mitigated	6.95x / 1.80x	\$0; scheduled-principal failure 01/31/2028	\$554.718m

8. Recovery and risk assessment

Moderate unmitigated/mitigated leverage peaks at 4.4893x/4.4670x; coverage bottoms at 3.2104x/3.2168x. Both warn and breach 10/31/2026. Liquidity remains \$165.078m/\$168.937m; neither modeled path exhausts liquidity or fails payment. Mitigation does not restore compliance; no automatic waiver is assumed. At the severe first-payment-failure date, illustrative recovery methods remain alternatives and official recovery is N/D. Recovery does not improve the Elevated project-specific assessment.

9. Conditions, monitoring, and conclusion

Conditions precedent address the \$15m source, funds flow, closing coverage, final definitions/economics, guarantees, collateral, accessible cash, LCs, projections, legal/KYC/tax/authority, and full commitments. Ongoing protections address distributions, minimum liquidity, certificates, monthly operating/cash reporting, control remediation, and maturity planning. Analyst warnings remain distinct from legal breaches.

CONDITIONAL APPROVAL - PROCEED WITH DILIGENCE AND DEFINITIVE DOCUMENTATION

Owner-review status: owner_reviewed. No final commitment or funding authorization exists until all material conditions are satisfied. Early moderate breach is accepted only as intervention while liquidity/payment capacity remain. If diligence indicates moderate is near expected, resize, require non-debt capital, restructure, or do not close. Failed conditions cannot be replaced with debt or covenant relief; retain or amend existing facilities through a limited amendment/extension.

Appendix A - Historical financial summary

USD millions / ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	\$1,072.149	\$1,221.502	\$1,130.583	\$1,277.862	\$1,837.641
Operating income	\$81.870	\$111.281	\$110.701	\$54.826	\$(193.952)
Unadjusted EBITDA	\$124.602	\$151.390	\$153.567	\$115.154	\$(90.508)
Lender-base EBITDA	\$124.602	\$151.390	\$153.567	\$179.358	\$225.344
CFO	\$78.588	\$97.965	\$147.052	\$88.812	\$164.897
FCF	\$54.580	\$64.844	\$109.662	\$51.726	\$102.255
CFO / lender EBITDA	63.1%	64.7%	95.8%	49.5%	73.2%
FCF / lender EBITDA	43.8%	42.8%	71.4%	28.8%	45.4%

Comparability notes

- FY2021-FY2023 are pre-Tyman. FY2024 contains roughly three months of Tyman. FY2025 is the first full post-Tyman fiscal year.
- Reported, company pro forma, analyst comparability, and credit-adjusted layers remain separate. Current segment history is not fabricated for prior periods.
- FY2025 unadjusted EBITDA is negative because operating income includes the goodwill impairment; leverage and coverage using a nonpositive denominator are N/M, never favorable.
- Historical FCF is CFO less capital expenditures; cash interest is already included in US-GAAP CFO and is not deducted twice.

Selected FY2024/FY2025 lender-base adjustment bridge

Period	Starting EBITDA	Accepted / deducted items	Lender Base
FY2024	\$115.154m	\$0 plant closure; \$(4.196)m gain; \$29.076m PPA; \$39.324m Tyman fees	\$179.358m
FY2025	\$(90.508)m	\$302.284m impairment; \$9.007m PPA; \$4.561m noncash restructuring; other items \$0	\$225.344m

Contractual EBITDA remains a partial, unofficial public-information reconstruction. Lender-normalization judgments do not alter historical cash outflows or eliminate acquisition and asset-quality risk.

Appendix B - Scenario and covenant matrix

Path	Maximum quarterly-test	Min coverage	All-in liquidity	First warning	First breach	First payment failure	Maturity gap
Base	3.23x	5.39x	\$263.902m	None	None	None	\$324.780m
Moderate U	4.49x	3.21x	\$165.078m	10/31/26	10/31/26	None	\$408.375m
Moderate M	4.47x	3.22x	\$168.937m	10/31/26	10/31/26	None	\$381.133m
Severe U	7.06x	1.78x	\$0	04/30/26	10/31/26	12/31/27 interest	\$604.258m
Severe M	6.95x	1.80x	\$0	04/30/26	10/31/26	01/31/28 principal	\$554.718m

Proposed covenant and warning framework

Measure	Proposed covenant	Analyst warning	Key limitation
Gross funded leverage	3.50x / 3.25x / 3.00x	3.25x / 3.00x / 2.75x	Zero cash netting; final debt/EBITDA definitions required
Cash-interest coverage	Minimum 3.00x	Below 3.50x	Opening LTM cash interest is N/D
Usable liquidity	Minimum \$50m	Below \$75m	Eligible cash and drawability require documents
Operating cash floor	Model control: \$25m	Separate	Not a source or covenant cash-netting amount

Intervention sequence

- Warning: suspend repurchases, start monthly reporting, and require a 10-business-day action plan. A warning is not a breach.
- Breach: suspend restricted payments and evaluate draw conditions, cure, consent, or waiver under executed documents.
- No-waiver sensitivity: modeled draw shutoff starts after a tested breach; it is not a legal conclusion or automatic favorable debt reduction.
- Mandatory-payment failure, liquidity failure, reporting exception, covenant breach, and maturity shortfall remain distinct event classes.

Scenario boundary

Moderate and severe cases are owner-reviewed analytical stresses, not management forecasts. Mitigations are separate dated actions and do not overwrite the unmitigated case.

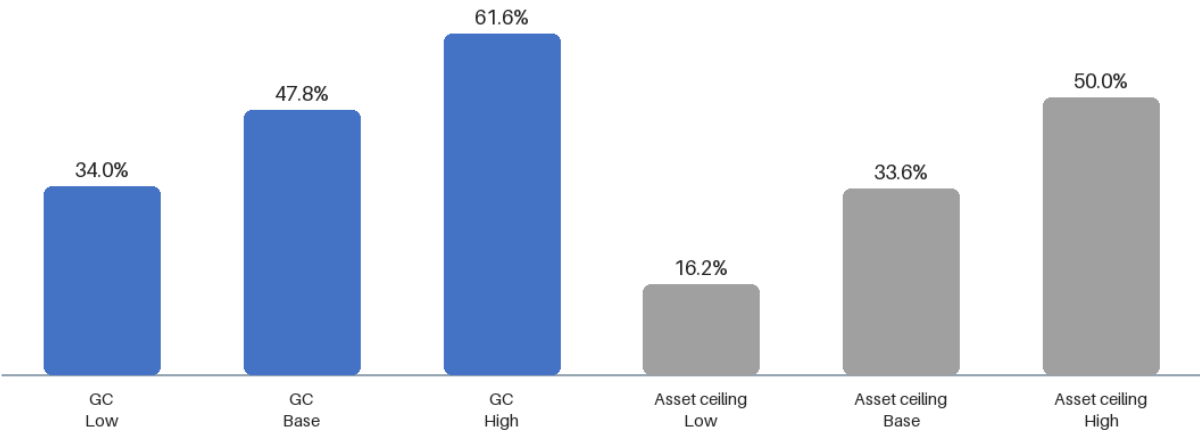
Appendix C - Conditions, monitoring, and open diligence

ID	Category	Requirement	Consequence / control value
P10CM-001	condition precedent	Verified \$15m non-debt source	No close; do not replace with incremental debt.
P10CM-002	condition precedent	Final sources, uses, payoff and closing balances	No close or resize with new approval.
P10CM-003	condition precedent	Conditional \$15m non-debt source	Modeled transaction is not authorized and no final commitment or funding authorization exists.
P10CM-004	condition precedent	Closing cash-interest coverage	No close or separately approved restructure.
P10CM-005	condition precedent	Final covenant and draw definitions	No close until lender/counsel approval.
P10CM-006	condition precedent	Pricing, recurring fees, hedges and amendment economics	No economic recommendation or closing.
P10CM-007	condition precedent	Guarantee coverage	No close or explicit reduced-support approval.
P10CM-008	condition precedent	Collateral, lien releases, perfection and priority	No close or explicitly approved collateral exception.
P10CM-009	condition precedent	Foreign cash and unavailable assets	No credit to inaccessible cash or unsupported collateral.
P10CM-010	condition precedent	LC continuation or replacement	No close while exposure is unresolved.
P10CM-011	condition precedent	Closing projections and liquidity support	No final approval or funding.
P10CM-012	condition precedent	Legal, KYC, sanctions, tax and authority	No funding where required evidence is absent.
P10CM-013	condition precedent	Full committed financing and syndication	No close.
P10CM-014	ongoing covenant	No debt-funded buybacks	Restricted-payment block and escalation under final documents.
P10CM-015	ongoing covenant	Distribution restrictions	Suspend distributions and require consent where applicable.
P10CM-016	ongoing covenant	Minimum liquidity and no-waiver drawability	Escalation, action plan, and no assumed continued draw.
P10CM-017	ongoing covenant	Quarterly certificates and financial reporting	Reporting exception and preservation of rights.
P10CM-018	monitoring requirement	Monthly liquidity and working capital	Increase to weekly reporting on liquidity or draw warning.
P10CM-019	monitoring requirement	Monthly integration, margin, and operating package	Five-to-ten-business-day action plan on warning.
P10CM-020	monitoring requirement	Control-remediation evidence	Reporting exception, enhanced controls, or default analysis.
P10CM-021	analyst warning	Gross leverage warning	Suspend repurchases, monthly reporting, and 10-business-day debt-reduction plan.
P10CM-022	analyst warning	Cash-interest coverage warning	Revised forecast and amendment/waiver planning before breach.
P10CM-023	analyst warning	Usable-liquidity warning	Immediate 13-week cash forecast and corrective plan.
P10CM-024	unresolved diligence	Official covenant compliance	Remain N/D; do not claim compliance.
P10CM-025	unresolved diligence	Official recovery	Remain N/D; sensitivities are alternatives only.
P10CM-026	monitoring requirement	Maturity-refinancing strategy	Watchlist and senior credit escalation; no refinancing assumed.

All items remain open and not satisfied from public information. Their inclusion does not imply borrower agreement or final legal drafting. See data/phase10/processed/CONDITIONS_AND_MONITORING.csv for full evidence definitions and source IDs.

Appendix D - Recovery sensitivities and source notes

Illustrative alternative recovery sensitivities (% of facility claim)



Method	Low	Base	High	Boundary
Going concern	34.006% / \$289.342m	47.795% / \$406.662m	61.583% / \$523.982m	Continued-operation EV sensitivity
Asset realization	16.200% / \$137.840m	33.605% / \$285.927m	49.983% / \$425.285m	Full consolidated-access ceiling

Official conclusion: N/D

The public record does not establish complete guarantor, collateral, lien, priority, cash/asset access, appraisal, or claims facts. Going-concern and asset-realization methods are alternatives and are never added.

Definition and source notes

- The illustrative facility claim is \$850.851m at the selected severe unmitigated first cash-interest failure date, December 31, 2027.
- The \$62.619m retained finance-lease and other-funded-obligation deduction is applied once for conservative sensitivity and creates no legal-priority inference.
- The 100% consolidated-access case is only a mechanical ceiling. Actual lender accessibility remains N/D.
- Every material figure maps to a P10M record and then to an approved prior-phase path in docs/phase-10/SOURCE_LEDGER.csv.
- No substantive evidence first published after December 15, 2025 is used. This is not an appraisal, official compliance certificate, legal opinion, or bank decision.